



Income Tax Department

Ministry of Finance, Government of India

Interpretation.

184. For the purposes of this Chapter, unless the context otherwise requires,—

- (1) "accommodating party" means a party to an arrangement, if the main purpose of the direct or indirect participation of that party in the arrangement, in whole or in part, is to obtain, directly or indirectly, a tax benefit (but for the provisions of this Chapter) for the assessee whether or not the party is a connected person in relation to any party to the arrangement;
- (2) "arrangement" means any step in, or a part or whole of, any transaction, operation, scheme, agreement or understanding, whether enforceable or not, and includes the alienation of any property in such transaction, operation, scheme, agreement or understanding;
- (3) "asset" includes property, or right, of any kind;
- (4) "benefit" includes a payment of any kind whether in tangible or intangible form;
- (5) "connected person" means any person who is connected directly or indirectly to another person and includes,—
 - (a) any relative of the person, if such person is an individual;
 - (b) any director of the company or any relative of such director, if the person is a company;
 - (c) any partner or member of a firm or association of persons or body of individuals or any relative of such partner or member, if the person is a firm or association of persons or body of individuals;
 - (d) any member of the Hindu undivided family or any relative of such member, if the person is a Hindu undivided family;
 - (e) any individual who has a substantial interest in the business of the person or any relative of such individual;
 - (f) a company, firm or an association of persons or a body of individuals, whether incorporated or not, or a Hindu undivided family having a substantial interest in the business of the person or any director, partner, or member of the company, firm or association of persons or body of individuals or family, or any relative of such director, partner or member;
 - (g) a company, firm or association of persons or body of individuals, whether incorporated or not, or a Hindu undivided family, whose director, partner, or member has a substantial interest in the business of the person, or family or any relative of such director, partner or member;
 - (h) any other person who carries on a business, if—
 - (i) the person being an individual, or any relative of such person, has a substantial interest in the business of that other person; or
 - (ii) the person being a company, firm, association of persons, body of individuals, whether incorporated or not, or a Hindu undivided family, or any director, partner or member of such company, firm or association of persons or body of individuals or family, or any relative of such director, partner or member, has a substantial interest in the business of that other person;
- (6) "fund" includes—
 - (a) any cash;
 - (b) cash equivalents; and
 - (c) any right, or obligation, to receive or pay, the cash or cash equivalent;
- (7) "party" includes a person or a permanent establishment which participates or takes part in an arrangement;
- (8) "relative" shall have the meaning assigned to it in section 92(5)(g);
- (9) a person shall be deemed to have a substantial interest in the business, if,—
 - (a) in a case where the business is carried on by a company, such person is, at any time during the financial year, the beneficial owner of equity shares carrying at least 20% of the voting power; or
 - (b) in any other case, such person is, at any time during the financial year, beneficially entitled to at least 20% of the profits of such business;
- (10) "step" includes a measure or an action, particularly one of a series taken in order to deal with or achieve a particular thing or object in the arrangement;
- (11) "tax benefit" includes,—
 - (a) a reduction or avoidance or deferral of tax or other amount payable under this Act; or
 - (b) an increase in a refund of tax or other amount under this Act; or
 - (c) a reduction or avoidance or deferral of tax or other amount that would be payable under this Act, as a result of a tax treaty; or
 - (d) an increase in a refund of tax or other amount under this Act as a result of a tax treaty; or
 - (e) a reduction in total income; or
 - (f) an increase in loss,in the relevant tax year or any other tax year;
- (12) "tax treaty" means an agreement referred to in section 159(1) or (2).